1) What is accounting profit?

a. Total revenue minus economic cost
b. Total revenue minus accounting cost
c. Total revenue minus explicit cost
d. Total revenue minus implicit cost

2) The equilibrium rent on office space has just increased by Rs. 300/month. Determine the effect on accounting profit and economic profit if you rent your office space.

a. Accounting profit decreses by Rs. 300 but no impact on economic profit.
b. Economic profit decreses by Rs. 300 but no impact on accounting profit.
c. Both accounting and economic profit decreases by Rs. 300
d. Both economic and accounting profit will be unchanged.

3) The equilibrium rent on office space has just increased by Rs. 300/month. Determine the effect on accounting profit and economic profit if you own your office space.

a. Accounting profit decreases by Rs. 300 but no impact on economic profit.
b. Economic profit decreases by Rs. 300 but no impact on accounting profit.
c. Both accounting and economic profit decreases by Rs. 300
d. Both economic and accounting profit will be unchanged.

4) The function that describes the increase in output resulting from an additional unit of an input, keeping all other input constant, is marginal product.

a. True
b. False

5) Let L represent the number of workers hired by a firm, and let Q represent that firm's quantity of output. Assume two points on the firm's production function are (L = 7, Q = 105) and (L = 8, Q = 118). Then the marginal product of the 8th worker is

a. 20 units of output
b. 13 units of output
c. 19 units of output
d. 15 units of output

6) Which of the following costs of a thermal power plant is variable cost?

a. Operational and maintenance cost
b. Fuel cost
c. Cost of land and erection of infrastructure
d. Both (a) and (b)

7) Suppose that firm X increases the wages offered to its factory workers. Which of the following will occur?

a. FC should shift upward
b. AFC would shift downward
c. AVC would shift upward
d. AVC would shift downward

8) A certain firm produces and sells pens. Last year it sold 11 million pens at a price of Rs30 per piece. For last year, the firm's

a. Accounting profit was Rs330 million
b. Economic profit was Rs330 million
c. Explicit cost was Rs330 million
d. Total revenue was Rs330 million

9) In the short run, all inputs are variable.

a. True
b. False

10) Average fixed cost always falls as output increses.

a. True
b. False